disillusioned and discontented. Mao, on the other hand, had an army with higher morale and better discipline. When civil war broke out, Chiang Kai-Sehik's army began to disintegrate, with generals changing sides. Cities fell one by one. By the end of 1949 Chiang Kai-Shek had fled the mainland for Taiwan. The People's Republic of China was established in 1949.

14.3 Liberation Struggles in Indonesia and Philippines

Mao's victory, following the independence of India, sent a message that imperialism could be defeated in the colonies. But in Southeast Asia, especially in the Philippines and Indonesia, nationalism was in its nascent stage and no substantial progress could be made towards achieving self-government until the dawn of the 20th century. Three and a half years of Japanese occupation resulted in the loss of prestige to the European colonial powers, with the national movements emerging strong and powerful. But after the defeat of Japan in 1945, Western powers sought to return to their territories. At first they tried to return as colonial rulers, but a brief period of rule proved that this to be unrealistic. This resulted in the Dutch and American attempts to hand over power to friendly, moderate nationalist regimes that could block the rise of communism which was ascendant after the end of the World War.

The East Indies (Indonesia)

The Dutch had occupied Java and Sumatra since about 1640. In the second half of the nineteenth century they conquered the outer islands of the East Indies. During the nineteenth century the Dutch were mainly interested in economic, not political control. Most of the population relied on fishing and agriculture. Many worked on European sugar, tobacco, tea and coffee plantations. Heavy investment in these plantations and other concerns with the discovery of oil (1900) and the resultant growth of exports and import all made this area a valuable colony for the Dutch.



Dutch Colonial Rule

The nationalist movement in East Indies took shape much later than in the Philippines. This is because the Dutch were slow in introducing Western education. In the Philippines the Eurasians identified themselves with the native cause and became the leaders of the nationalist movement. The Dutch, in contrast, largely free of racial prejudice, intermarried with the natives and accepted the Eurasians in their society. The Eurasians considered their interests as those of the Dutch.

Rise of Nationalism

The first clear manifestation of nationalism in the East Indies was in 1908, when the first native political society *Boedi Oetomo* (High Endeavour) was organised. The society was founded by students of the first Dutch medical school at the instance of their senior Wahidin Sudirohusodo. The idea was that the native intellectuals should take the lead in working for the educational advancement of the country. It turned out to be a cultural body, consisting mainly of civil servants and students from Java. *Boedi Oetomo* soon became defunct and a more popular political society *Sarekat Islam* (Muslim Union) emerged.

Sarekat Islam was formed mainly to fight against the economic power of the Chinese. But it gradually became a socialist and nationalist body. In 1916 it passed a resolution demanding self-government. In two years its membership increased from 350,000 to two and a half million. Encouraged by the Russian Revolution of 1917 the communists within Sarekat Islam

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